GEOPOLITICAL RISK AND ENERGY POLICY CASE STUDY

Norway's Hydrocarbon-to-Green Strategy

Sovereign wealth, carbon capture, and the energy security paradox

Scope 1969 to 2025 | Norwegian Continental Shelf and EU energy system

Executive summary

Key pillar	Metrics and current status
Sovereign wealth (GPFG)	~US$1.7-2.0T; ~1.5% of global listed equities; 3% fiscal rule
State execution (Equinor)	~67% state-owned; 78% marginal petroleum tax
CCS infrastructure	Longship ~NOK 25B (~2/3 state-funded); Northern Lights 1.5 to ~5 Mtpa
Energy security	~30% of EU gas demand after 2022; ~120 bcm output
Climate mandate	At least 55% cut by 2030 vs. 1990; carbon price toward NOK 2,000/t
Core risk	Downstream emissions litigation; Barents licensing; stranded assets

Fossil rent is recycled into diversified capital and state-anchored green infrastructure.

The sovereign wealth engine

1969

Ekofisk discovery opens the petroleum era

1990

GPFG legislated; first deposit in 1996

2001

Fiscal rule: spend only expected real return

2017

Rule rate cut from 4% to 3%

2022

Record inflows; fund near NOK 20T

Dutch Disease firewall: foreign-only investment, a binding fiscal rule, and state capture of rent through the 78% tax regime.

Carbon capture: the reverse-royalty model

Emitter
Cement and waste-to-energy plants capture CO2 with state-matured technology

→

Transport
Liquefied CO2 shipped by Northern Lights

→

Storage
Offshore reservoir; tariff anchored by the carbon price

→

Value capture
Tariff income to infrastructure owners, not patent royalties

The state pays about two-thirds of Longship capex up front, then controls the scarce storage corridor. Risk: fiscal exposure if carbon prices or volumes fall.

The energy emergency matrix

Dimension	Strategic gain	Strategic risk
EU supply security	~30% of EU gas; stabilizer after Russian decoupling	Single-supplier concentration
Fiscal position	Record state cash flow and fund inflows	2022 paper loss of ~14%
Climate credibility	At least 55% domestic cut; EVs; CCS	Exported emissions exceed domestic
Barents expansion	Johan Castberg online in 2025	2024 court ruling; 2025 EFTA opinion
Long-term demand	Security premium to ~2030	Stranded assets if demand falls fast

Verdict: coherent as a managed transition; weakest where new licensing is framed as climate-neutral.

Strategic recommendations

1 **Legislate the firewall before the windfall**

Sovereign fund, binding fiscal rule, offshore-only investment. Spend the yield, never the inflow.

2 **Capture rent, then own the scarce asset**

High resource-rent taxation reinvested in CCS corridors, grid and storage, with a carbon price anchoring demand.

3 **Sequence the transition with legal clarity**

Separate security-driven supply from long-term expansion; adopt full-lifecycle emissions assessment before litigation forces it.